FIRST NATIONAL BANK

AML Risk Management
Practitioner's Guide

Document Reference: FNB-AML-GUIDE-002

Version: 1.0

Effective Date: January 1, 2025

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Classification: INTERNAL USE ONLY

1. Introduction to AML Risk Management

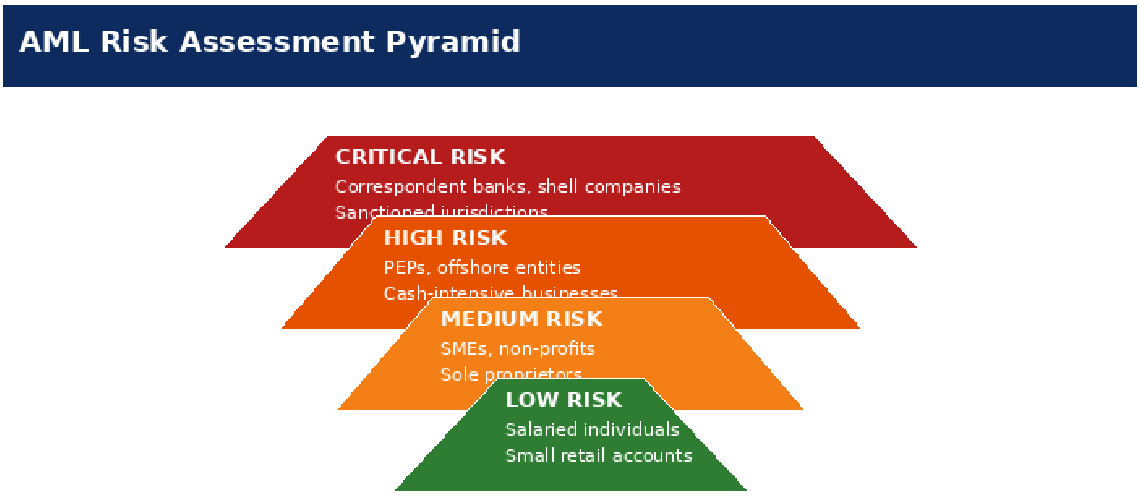
Anti-Money Laundering (AML) risk management is the cornerstone of First National Bank's compliance framework. This guide provides practitioners with a comprehensive overview of the risk assessment methodologies, detection mechanisms, and reporting obligations that govern FNB's approach to combating financial crime.

Money laundering is estimated to account for 2-5% of global GDP annually. Financial institutions serve as the primary gatekeepers of the financial system and bear the greatest responsibility for detecting and preventing illicit fund flows. Failure to maintain an effective AML programme exposes the bank to regulatory sanctions, reputational damage, and criminal liability.

This guide is organised around the key risk domains: customer risk, product risk, geographic risk, and channel risk. Each domain requires specific controls and monitoring approaches which are detailed in the sections below.

2. Customer Risk Classification

FNB classifies all customers into four risk tiers based on their profile, business activity, jurisdiction, and transaction patterns. The risk pyramid below illustrates the classification hierarchy and associated review requirements:



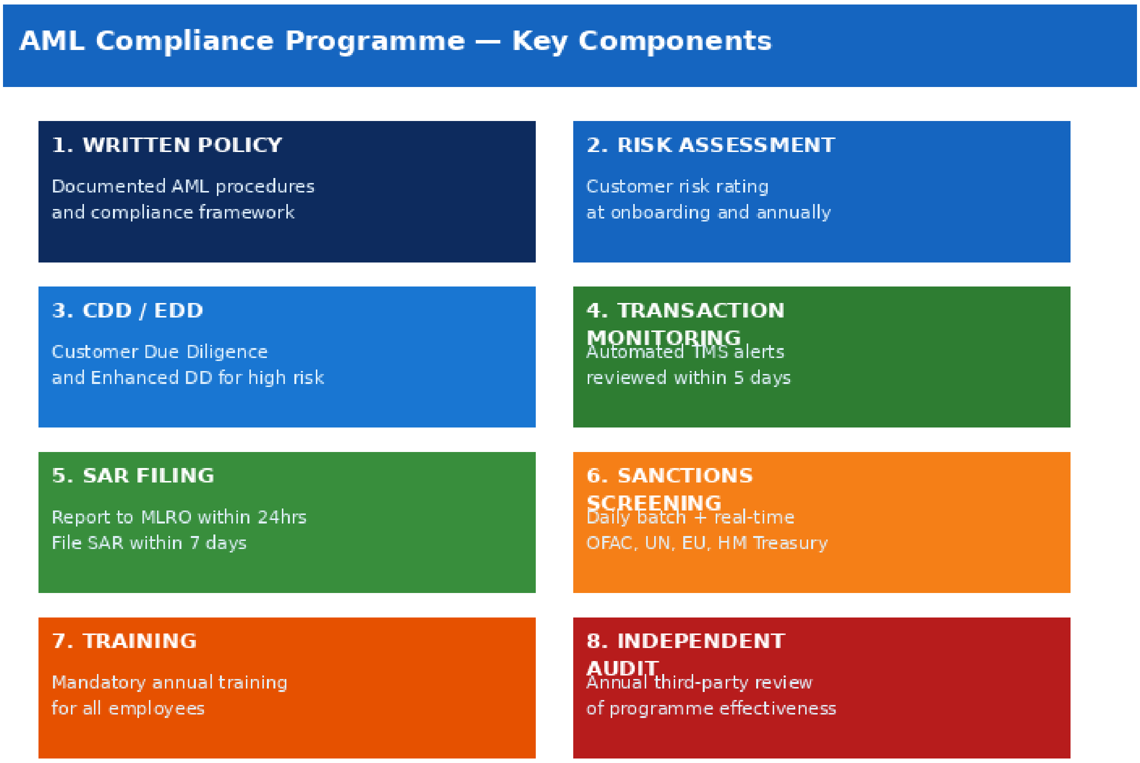
Higher levels require Enhanced Due Diligence (EDD) and senior management approval.

Risk classification is performed at onboarding and reviewed periodically. Material changes in customer behaviour, ownership structure, or geographic exposure may trigger an out-of-cycle risk reclassification. The Compliance team must approve all upgrades from Medium to High risk. The Chief Compliance Officer must approve Very High risk classifications.

Low-risk customers include salaried individuals with verifiable employment, small retail accounts with predictable transaction patterns, and listed public companies. High-risk customers include Politically Exposed Persons (PEPs), customers operating in cash-intensive industries, entities registered in jurisdictions with weak AML frameworks, and customers with complex or opaque ownership structures.

3. The AML Compliance Programme

FNB's AML compliance programme comprises eight interconnected components that together form a comprehensive defence against money laundering. Each component has a designated owner and is subject to independent audit annually:

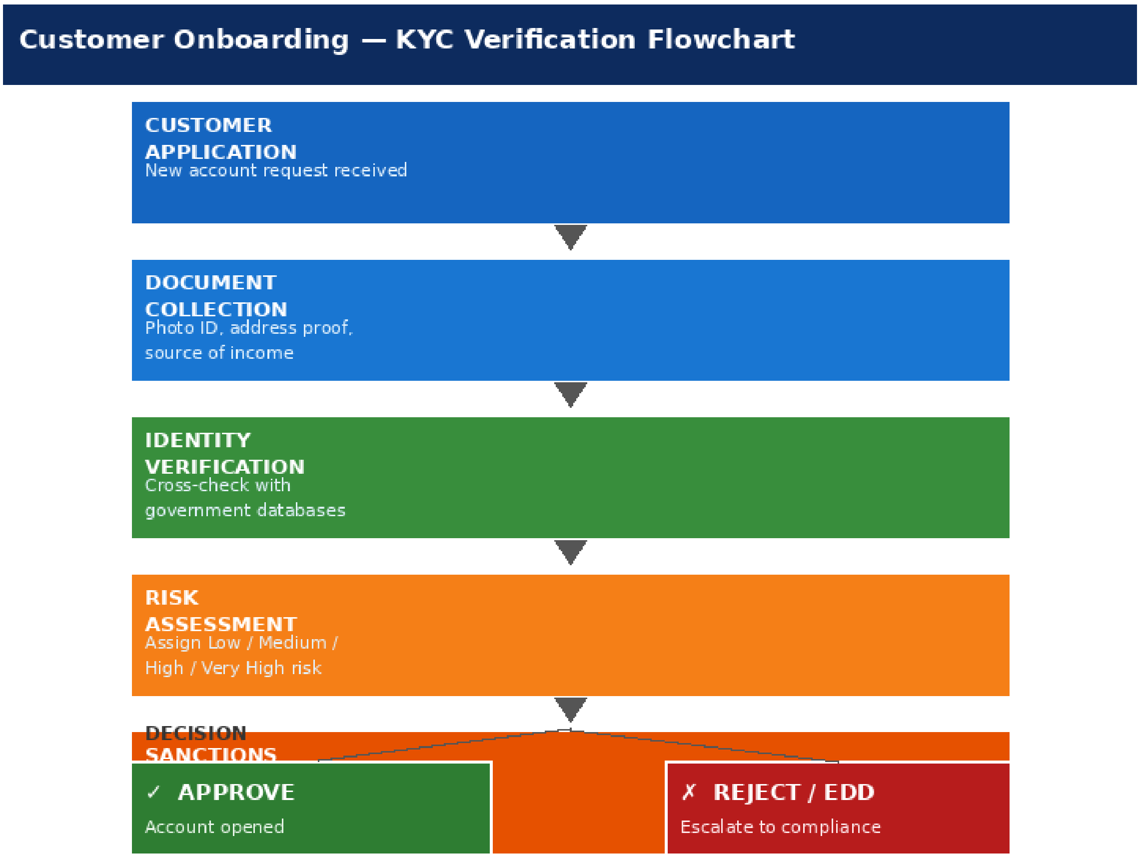


The Written AML Policy establishes the framework and is approved by the Board Risk and Compliance Committee annually. Risk Assessment ensures all customers are rated before any business relationship is established. Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) verify customer identity and assess source of funds.

Transaction Monitoring uses an automated Transaction Monitoring System (TMS) to generate alerts on unusual patterns. SAR Filing ensures suspicious activity is reported to the Money Laundering Reporting Officer (MLRO) within 24 hours and to the Financial Intelligence Unit (FIU) within 7 business days. Sanctions Screening checks all customers and transactions against OFAC, UN, EU, and HM Treasury lists daily.

4. Customer Onboarding and KYC Process

Every new customer relationship must pass through a structured onboarding process before any account is opened or product is provided. The flowchart below illustrates the sequential steps and decision points:



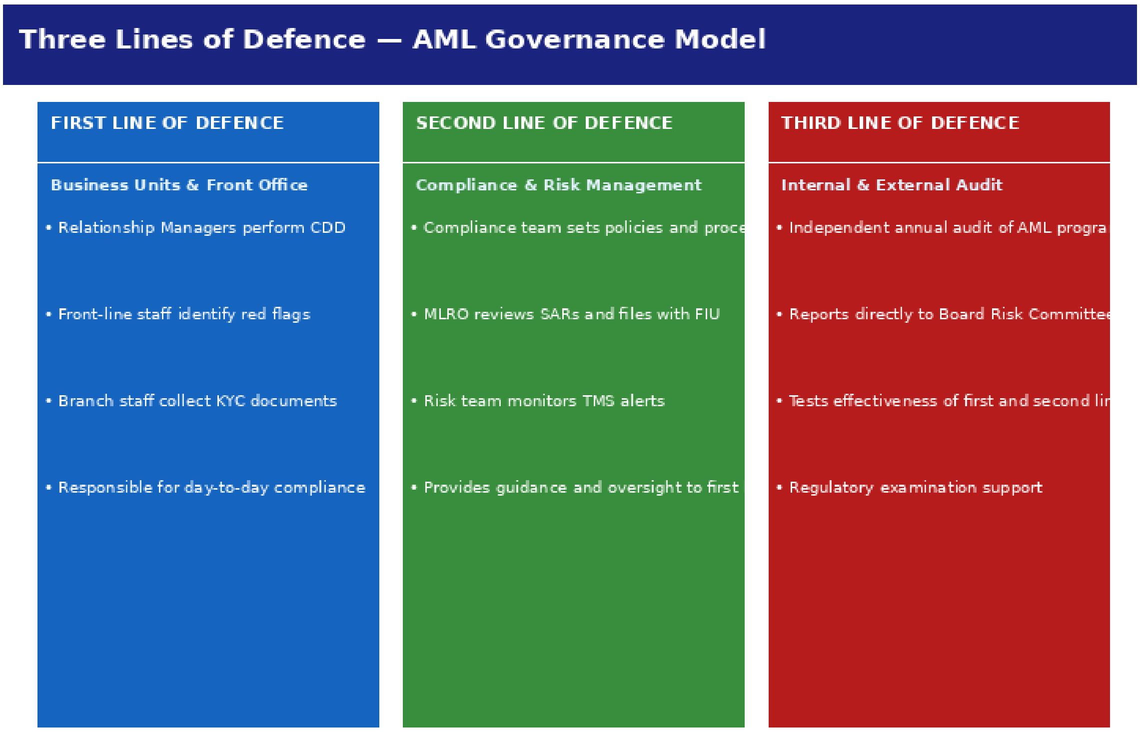
The onboarding process begins with document collection. Individual customers must provide a valid photo identity document, proof of current address, evidence of source of income, and a recent photograph. Corporate customers must additionally provide Certificate of Incorporation, Board resolution, beneficial ownership register, and audited financials.

Following document verification, every new customer is risk-rated using the Customer Risk Assessment Model. Customers rated High or Very High are automatically referred for Enhanced Due Diligence before account approval. No account may be opened until both the identity verification and sanctions screening steps are successfully completed.

Rejected applications must be documented with the reason for rejection. If the rejection is based on money laundering suspicion, the Relationship Manager must file an Internal SAR to the MLRO within 24 hours of the decision. The customer must not be informed of the rejection reason if doing so would constitute tipping off.

5. Governance — Three Lines of Defence

FNB's AML governance framework operates on the internationally recognised Three Lines of Defence model. Each line has distinct responsibilities and reporting lines:



The First Line — business units and front-office staff — owns the risk. Relationship Managers are responsible for collecting KYC documents, conducting initial risk assessments, and identifying red flags in day-to-day customer interactions. They are the first point of detection and cannot delegate their compliance obligations.

The Second Line — the Compliance and Risk Management function — provides oversight, policy, and guidance. The Money Laundering Reporting Officer (MLRO) is the designated officer responsible for receiving internal SARs, making filing decisions, and liaising with regulatory authorities. The MLRO reports directly to the Chief Compliance Officer.

The Third Line — Internal and External Audit — provides independent assurance. The annual AML audit assesses the design and operational effectiveness of controls across both the first and second lines. Audit findings are reported directly to the Board Risk and Compliance Committee.

6. Red Flag Indicators and Suspicious Patterns

All staff must be trained to recognise the following behavioural and transactional patterns that may indicate money laundering or terrorist financing activity. Detection of any of these indicators must be reported to the MLRO immediately:

⚠ Money Laundering Red Flag Indicators

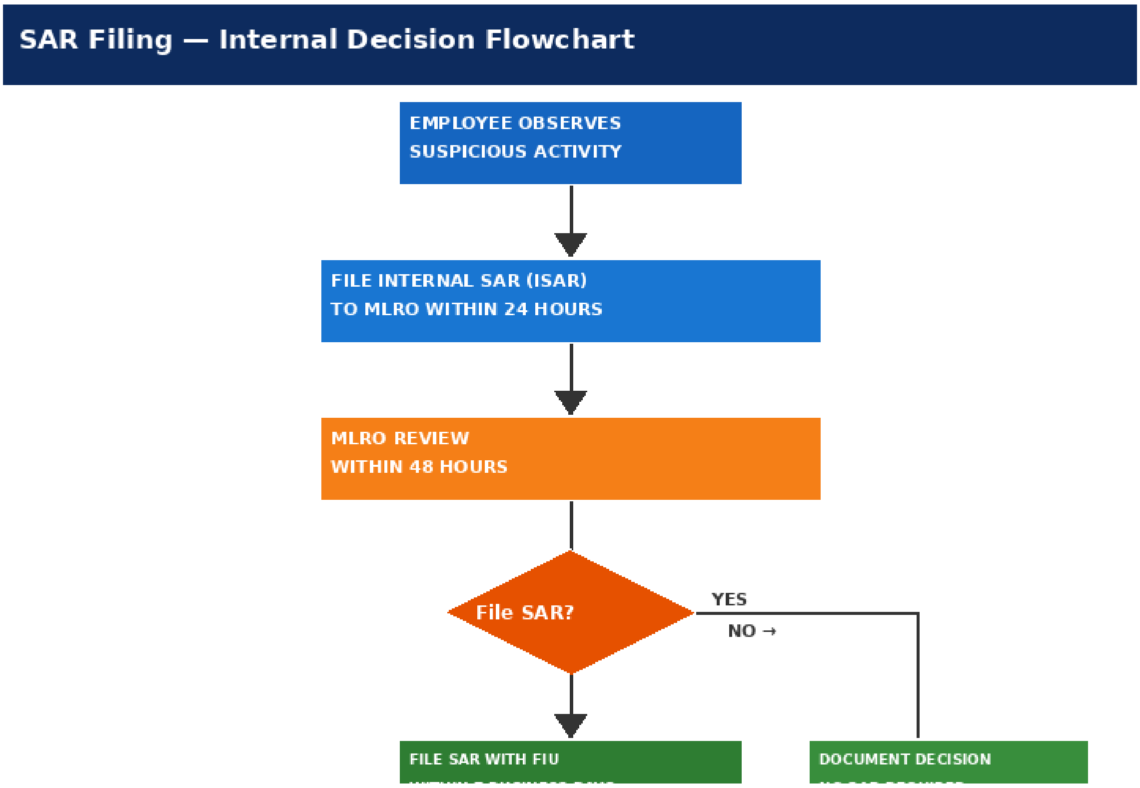
! Reluctance to provide KYC documents or inconsistent information	! Cash transactions inconsistent with customer's known business profile
! Structuring transactions just below reporting thresholds (smurfing)	! Frequent transfers to/from high-risk or sanctioned jurisdictions
! Transactions with no apparent business purpose or economic rationale	! Rapid movement of funds through multiple accounts with no purpose
! Customer insists on anonymity or uses third parties without explanation	! Sudden unexplained increase in transaction volume or account balance
! Payments to/from persons on sanctions or watchlists	! Complex ownership structures used to obscure beneficial ownership
! Use of shell companies or nominee arrangements	! Large round-number cash deposits just below CTR threshold

The above indicators are not exhaustive. Staff are expected to exercise professional judgement and report any transaction or behaviour that seems unusual given the customer's known profile, regardless of whether it matches a specific listed indicator.

Particular attention must be paid to structuring — the deliberate breaking up of large transactions into smaller amounts to avoid reporting thresholds. This practice, also known as smurfing, is itself a criminal offence under the Bank Secrecy Act and equivalent legislation in all FNB operating jurisdictions.

7. Suspicious Activity Reporting (SAR) Process

When suspicious activity is identified, staff must follow the internal reporting process shown in the decision flowchart below. The process is designed to ensure timely escalation while protecting the integrity of any subsequent investigation:



The tipping-off prohibition is one of the most critical obligations in AML law. Under no circumstances may any employee inform a customer, directly or indirectly, that a SAR has been filed or is being considered. Violation of the tipping-off prohibition is a criminal offence carrying a maximum sentence of five years imprisonment.

The MLRO's decision to file or not file a SAR must be documented in the compliance case management system with a written rationale. All SAR-related records must be retained for a minimum of 7 years. A continuing activity SAR must be filed every 90 days if the suspicious activity is ongoing.

8. Sanctions Screening Programme

FNB maintains a comprehensive sanctions screening programme covering all customers, counterparties, and transactions. Sanctions screening is performed at onboarding and on an ongoing daily basis for all active customer records.

8.1 Sanctions Lists Screened

• OFAC SDN List (US Treasury Office of Foreign Assets Control)

• UN Security Council Consolidated Sanctions List

• EU Consolidated Financial Sanctions List

• HM Treasury UK Financial Sanctions List

• RBI Caution List (Reserve Bank of India)

• Interpol Wanted Persons List

• World Bank Debarred Firms and Individuals List

• FATF High-Risk and Monitored Jurisdictions List

8.2 Screening Frequency

All customers are screened at onboarding before any account is approved. Ongoing daily batch screening covers all active customer records. Real-time screening is applied to all wire transfer instructions above USD 1,000. Any positive or potential match must be escalated to the Compliance team within 1 hour and to the MLRO within 2 hours if confirmed.

8.3 Positive Match Procedure

On confirmation of a sanctions match, the account must be frozen immediately and the transaction blocked. The MLRO must notify the relevant regulatory authority within the timeframe specified by local law — typically within 24 hours. All funds held must be reported to OFAC or the relevant authority. No funds may be released without regulatory authorisation.

9. AML Training Requirements

All FNB employees must complete mandatory AML training within 30 days of joining and annually thereafter. Failure to complete training within the required timeframe results in system access restrictions until the requirement is met.

Training programmes are tailored to each employee's role and risk exposure. Front-line staff complete a 2-hour programme covering KYC procedures, red flag identification, and internal reporting obligations. Compliance team members complete an advanced 4-hour programme covering SAR filing, sanctions, and regulatory examination preparation. The MLRO must hold a recognised AML qualification and complete recertification every 2 years through an accredited provider.

Training effectiveness is assessed through annual testing. Staff who fail to achieve a passing score of 80% must complete remedial training within 14 days. Persistent training failures are escalated to HR and may result in disciplinary action.

10. Regulatory Penalties and Enforcement

Non-compliance with AML obligations exposes FNB and its employees to severe consequences. Recent global enforcement actions have resulted in fines exceeding USD 1 billion for major financial institutions, demonstrating that regulators treat AML failures with the utmost seriousness.

10.1 Institutional Penalties

• Fines up to USD 1,000,000 per violation or twice the amount of the transaction

• Suspension or permanent revocation of banking licence

• Mandatory appointment of an external compliance monitor at the bank's expense

• Public enforcement action damaging to the bank's reputation

• Restriction on new product launches, acquisitions, or geographic expansion

• Criminal prosecution of the institution for facilitation of money laundering

10.2 Individual Employee Penalties

• Criminal prosecution for knowingly facilitating money laundering — up to 20 years imprisonment

• Personal fines up to USD 500,000

• Immediate termination of employment

• Lifetime ban from working in the financial services industry

• Public regulatory action and loss of professional certifications

Employees who report AML violations in good faith are protected from retaliation under FNB's Whistleblower Protection Policy and applicable law. Reports can be made anonymously via the Compliance Hotline: 1800-FNB-COMP or compliance@fnb.com.